



**“The heightened customer interest in EVs is driven by the enticing total cost of ownership, digital-first technology propositions, and support from the national or regional governments”**

**SUDARSHAN VENU**  
MD, TVS MOTOR, AT THE  
COMPANY'S AGM



**“The cell is the costliest component of an EV. It's the heart of an EV... because the cell defines the weight, range, charging speed... and costs about one-third the price of the vehicle”**

**BHAVISH AGGARWAL**  
CO-FOUNDER, OLA ELECTRIC,  
AT THE BT INDIA@100 SUMMIT

batteries. The Ola Roadster bikes, for instance, will be equipped with indigenously built 4680 Bharat battery cells by FY26. “The cell is the costliest component of an EV. It's the heart of an EV,” Aggarwal of Ola explained recently at the *Business Today* India@100 summit. It is akin to the engine of ICE vehicles because it defines the weight of the vehicle, range, and charging speed. “All these things in your vehicle depend on the cell, and if we make our own, we will be able to make it about 25–30% cheaper,” Aggarwal had said.

These relatively new firms could enjoy another advantage over the legacy firms: the lack of baggage and thus the ability to be more agile in terms of innovations. “Their pace to the market can be very quick in terms of development, offering the product, strategy, and reorienting themselves. Since they are new, they have relatively younger organisations. And they don't have any liabilities in terms of any typical supplier base or any commitments that they may have given,” says Puneet Gupta, Director of rating firm S&P Global.

Meanwhile, some automakers like Bajaj Auto argue that EV adoption remains low even though the government has provided subsidies to boost sales. “In spite of the government pouring so much money into EVs and subsidies, at the end of the day, the EV penetration in the two-wheeler segment is about 4–5% and somewhere between 1–2% in four-wheelers. So it doesn't really seem that it has taken off like a rocket,” Bajaj had said in July.

However, other firms, like TVS Motor Company, remain confident about EV adoption. “The heightened customer interest in EVs is driven by the alluring total cost of ownership, digital-first technology

10 manufacturers at present.

That's set to change. On August 15, India's 78th Independence Day, Bhavish Aggarwal-led Ola Electric launched the Ola Roadster series at a competitive pricing of ₹75,000. The series will compete in the commuter segment. “In ICE motorbikes, the mileage and power remained the same, but prices go up,” says Aggarwal.

According to Jain of Markets & Markets, EV two-wheelers cost 25–30% more than ICE bikes, but that differential may reduce in the future to 10–15% as battery technology advances, production increases, and new government

policies come in.

Jain feels electric bikes will make the biggest impact in the commuter segment if they can successfully lower cost. “As electric models offer lower operating costs and reduced maintenance requirements, they will become increasingly attractive to consumers,” observes Jain. Eventually, this could lead to a decline in sales of ICE models, but only if electric infrastructure improves.

It may turn out to be difficult for legacy brands to make inroads into the electric space since the companies in this space are working hard on building indigenous